



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the nine Months ended 31 December 2019

ORIENT FINANCE PLC
INCOME STATEMENT

For the

	03 Months Ended 31st December		09 Months Ended 31st December	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	852,482,908	868,836,476	2,484,613,461	2,645,625,151
Interest income	801,283,448	800,377,357	2,328,954,077	2,450,087,064
Interest expenses	(423,334,302)	(485,174,681)	(1,373,727,900)	(1,465,938,509)
Net interest income	377,949,146	315,202,676	955,226,177	984,148,555
Fee and commission income	39,300,801	48,489,232	113,927,088	136,808,777
Other operating income	11,898,659	19,969,887	41,732,296	58,729,310
Total operating income	429,148,606	383,661,795	1,110,885,561	1,179,686,642
Impairment charges for loans and receivables to customers	(296,260,868)	(161,031,006)	(725,994,013)	(470,327,251)
Net operating income	132,887,738	222,630,789	384,891,548	709,359,391
Operating expenses				
Personnel expenses	(118,797,598)	(101,624,331)	(343,870,281)	(298,903,573)
Depreciation and amortization	(8,596,344)	(7,236,032)	(25,217,737)	(19,949,310)
Other operating expenses	(119,626,179)	(119,744,880)	(357,503,474)	(340,155,278)
Operating profit/(loss) before Value Added Tax	(114,132,383)	(5,974,454)	(341,699,944)	50,351,230
Value Added Tax and NBT on financial services	(1,982,949)	(14,629,353)	(7,951,337)	(42,329,915)
Profit/(loss) before income tax	(116,115,332)	(20,603,807)	(349,651,281)	8,021,315
Income tax expense	-	-	-	-
Profit/(loss) for the period	(116,115,332)	(20,603,807)	(349,651,281)	8,021,315
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	(3,064,925)	927,933	3,110,680	944,546
Total comprehensive income/(expenses) for the period net of tax	(119,180,257)	(19,675,874)	(346,540,601)	8,965,861
Weighted Average Earnings Per Share (Rs.)	(0.74)	(0.14)	(2.23)	0.05
Diluted earnings per share (Rs.)	(0.74)	(0.14)	(2.23)	0.05

Figures in brackets indicate deductions.

Colombo
14th February 2020

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At

	31st December 2019	31st March 2019
	Rs.	Rs.
	Unaudited	Audited
ASSETS		
Cash and cash equivalents	119,740,295	181,741,883
Financial assets - fair value through other comprehensive income	964,525,241	936,939,610
Loans and receivables	12,620,839,700	14,033,759,660
Investments with banks and other financial institutions	172,078,340	286,253,330
Other assets	282,944,197	252,392,826
Real estate stock	16,772,709	16,772,709
Deferred tax asset	371,088,940	371,088,939
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	1,505,430	1,505,430
Property, plant and equipment	75,942,611	78,163,766
Investment properties	532,849,999	400,600,002
Total assets	15,958,713,208	17,359,643,901
LIABILITIES		
Due to banks - bank overdrafts	566,582,914	610,624,135
Deposits from customers	9,219,683,549	10,479,531,283
Interest bearing borrowings	3,200,613,717	2,091,868,611
Term debts	-	1,012,265,985
Redeemable preference shares	-	512,216,926
Other liabilities	625,034,782	436,331,176
Retirement benefit obligations	50,434,363	50,305,976
Total liabilities	13,662,349,325	15,193,144,092
EQUITY		
Stated capital	1,925,236,265	1,378,689,779
Statutory reserve fund	306,478,542	306,478,542
Revaluation reserve	141,120,773	141,120,773
Fair value reserve	4,179,711	1,069,031
Retained earnings	(80,651,408)	339,141,684
Total equity	2,296,363,883	2,166,499,809
Total equity and liabilities	15,958,713,208	17,359,643,901
Net assets per share	13.05	14.64

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

.....
Sanjeeva Jayasinghe
Head of Finance

.....
K.M.M. Jabir
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

.....
Dr. Dayanath Jayasuriya
Chairman

.....
Mr. Prakash Seneviratne
Director

Colombo
14th February 2020

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 31st December 2019

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale reserve	Fair value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April, 2018	1,378,689,779	305,274,930	112,291,899	213,964	-	551,579,875	2,348,050,447
Profit/(Loss) for the year	-	-	-	-	-	8,021,315	8,021,315
Other comprehensive income (expense) net of taxes	-	-	-	944,546	-	-	944,546
Transfer to statutory reserve	-	1,604,263			-	(1,604,263)	-
Balance as at 31st December 2018	1,378,689,779	306,879,193	112,291,899	1,158,510	-	557,996,927	2,357,016,308
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773		1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the year	-	-	-	-	-	(349,651,281)	(349,651,281)
Other comprehensive income (expense) net of taxes	-	-	-	-	3,110,680	-	3,110,680
<u>Transactions with Equityholders</u>							
Conversion of Preference Share Capital to Ordinary Shares	470,038,111	-	-	-	-	-	470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375	-	-	-	-	-	76,508,375
Write off of share premium generated in share conversion	-	-	-	-	-	(70,141,811)	(70,141,811)
Balance as at 31st December 2019	1,925,236,265	306,478,542	141,120,773	-	4,179,711	(80,651,408)	2,296,363,883

Figures in brackets indicate deductions.

Colombo
14th February 2020

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 31st December 2019

	2019	2018
	Rs.	Rs.
	Unaudited	Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	(349,651,281)	8,021,315
Adjustment for:		
Depreciation/amortization	25,217,737	19,644,871
Loss on disposal of property, plant and equipment	(146,651)	(124,695)
Impairment charges for loans and receivables to customers	725,994,013	470,327,251
Finance expenses	1,373,727,900	1,465,938,509
Investment income	(92,207,176)	(118,793,886)
Provision for gratuity	12,600,002	10,500,001
Operating profit/(Loss) before working capital changes	1,695,534,544	1,855,513,366
Change in loans and receivables to customers	554,675,950	(334,146,968)
Change in other assets	(30,551,371)	(10,436,218)
Change in deposits from customers	(1,258,607,638)	(973,412,850)
Change in other liabilities	176,248,754	(9,510,945)
	1,137,300,239	528,006,385
Interest paid	(1,319,591,604)	(1,405,722,264)
Gratuity paid	(12,616,130)	(8,465,394)
Net cash from/(used in) operating activities	(194,907,495)	(886,181,273)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(22,548,132)	(28,219,460)
Proceeds from sale of property, plant and equipment	168,682	7,006
Net change in available for sale financial assets	(24,474,951)	(14,774,816)
Net change in investments with bank and other financial institutions	114,174,990	448,253,766
Investment income received	92,207,176	118,793,886
Net cash generated from/(used in) investing activities	159,527,765	524,060,382
Cash flows from financing activities		
Interest bearing borrowings obtained	6,342,037,817	-
Repayment of interest bearing borrowings	(5,234,269,988)	2,846,955,408
Interest paid on debentures	(90,195,165)	(2,533,786,612)
Repayment of Debenture Capital	(1,000,000,000)	(90,500,000)
Repayment of Preference Share Capital	(153,300)	-
Net cash generated from/(used in) financing activities	17,419,364	222,668,796
Net change in cash and cash equivalents	(17,960,367)	(139,452,095)
Cash and cash equivalents at the beginning of the Period	(428,882,252)	57,090,896
Cash and cash equivalents at the end of the Period (Note A)	(446,842,619)	(82,361,199)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	111,843,244	93,721,644
Cash at bank	7,897,051	15,956,182
Bank overdrafts - secured	(566,582,914)	(192,039,025)
	(446,842,619)	(82,361,199)

Figures in brackets indicate deductions.

Colombo
14th February 2020

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2019. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 The Company has converted preference shares of the company to 23,993,778 Ordinary Shares at the ratio of six (06) Ordinary Shares for every one (01) Preference Share at a value of LKR19.59 per Ordinary Share. Additionally 3,905,481 fully paid shares would be issued in respect of preference share dividend amounting to Rs.76,478,108.00 calculated at LKR 19.59 per Ordinary Share. The Ordinary Shares so issued have been listed in the Colombo Stock Exchange (CSE) on 11th September 2019, in addition to the 148,018,370 Ordinary Shares of the Company currently listed in the CSE.
- 4 The Directors of Orient Finance PLC (the “Company” or “OFP”) resolved on 26.11.2019 to issue Thirty-Five Million One Hundred Eighty-Three Thousand Five Hundred Twenty-Six (35,183,526) Ordinary Voting Shares in the proportion of one (1) new Ordinary Voting Shares for every five (5) Ordinary Voting Shares in the capital of the Company by way of a Rights Issue amounting to Rupees Five Hundred Six Million Six Hundred Forty Two Thousand Seven Hundred Seventy Four and Cents Forty (Rs. 506,642,774.40) to the holders of the issued Ordinary Voting Shares of the Company at a price of Rupees Fourteen and Cents Forty (Rs. 14.40) per share, which new shares shall rank pari passu from the date of issue in all respects with the existing Ordinary Voting Shares of the Company. This has been approved by the Shareholders at the EGM held on 17th January 2020.
- 4 All known expenses have been provided for in these Financial Statements.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2019.

Listed Debenture Information

Debenture	31-Dec-19 Rs	31-Dec-18 Rs
Debentures Issued in 2014	-	-
	-	0
Debenture 02	31-Dec-19	31-Dec-18
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.21	6.43
Interest Coverage Ratio (Times)	1.25	1.02
Liquid Asset Ratio	7.60%	8.53%
Interest Rate of comparable Government Securities	7.73%	9.60%
Interest Yield as at Date of Last Trade	N/A*	N/T*
Yield to maturity as of Last Trade	N/A*	N/T*
* N/A -	Not Applicable	

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital	0	31-Dec-19	31-Dec-18
Value of Ordinary Shares (Rs.)		1,925,236,265	1,378,689,780
No. of Ordinary Shares		175,917,629	148,018,370
Share Price During the Period		For the Quarter Ended	
		31-Dec-19	31-Dec-18
Highest	(Rs)	14.90	15.00
Lowest	(Rs)	11.00	10.50
Closing	(Rs)	11.90	12.00

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
Shareholders as at 31 December 2019

	Name	No. of Shares	%
1	Janashakthi PLC Account No 01	160,827,958	91.42
2	First Capital PLC	2,138,239	1.22
3	Mr. L.P.Mendis	696,103	0.40
4	Mr. R.A.B.K.Kumara	500,000	0.28
5	Seylan Bank Plc/ S.R. Fernando	490,839	0.28
6	Mr. K.S.S. Peris	382,064	0.22
7	Mr.N.L.S.Fernando	377,677	0.21
8	Mr. A.S.A.Fernando	330,000	0.19
9	M/S Commercial Credit And Finance Plc	330,000	0.19
10	Seylan Bank PLC/ K.L.G.Udayanda	231,375	0.13
11	Mr. G.A.C.De Silva	211,000	0.12
12	Mr.M.K.De Livera	207,628	0.12
13	Mr. R.M.P. Dayawansa	202,095	0.11
14	Mr. S.D.S. Gunasekera	200,000	0.11
15	Mrs. M. N. S. Fernando	195,523	0.11
16	M/S Merchant Bank of Sri Lanka & Finance PLC/ D.L.J. Priyadarshana	191,903	0.11
17	Mr.D.N.F.G. Martinus	179,043	0.10
18	M/S Merchant Bank of Sri Lanka & Finance PLC	175,000	0.10
19	Mr.R.E.Rambukwella	155,930	0.09
20	Mr.P.G. Piyasiri	137,668	0.08
	Others	7,757,584	4.41
	Total	175,917,629	100.00

Directors' Shareholding as at 31 December 2019

	Name of the Director	No. of Shares	%
1	Dr. D.C. Jayasuriya PC - Chairman	-	-
2	Mr. Prakash Schaffter	10	-
3	Mr. K. M. A. T. B. Tittawella	-	-
4	Ms. Minette D. A. Perera	-	-
5	Ms. Indrani Goonesekara	-	-
6	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
7	Mr. Sriyan Cooray	-	-
8	Mr. K.M.M. Jabir	-	-
9	Mr. R.M.D.J.Ratnayake	-	-
	Total	20	

CEO's Shareholding as at 31 December 2019

Mr. K. M.M. Jabir	-	-
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Public Holding as at 31 December 2019

Number of Public Shareholders	12,951,292
Public Shareholding Percentage	1,009
Float Adjusted market capitalization (Rs)	7.36%
	154,075,696

According to the option 2 of 7.13.1 (b) of the listing rules the company is non compliant with the minimum public holding requirement as at 30 September 2019. An exemption by the CSE has been granted in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement up to 4th June 2020.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 31st Dec	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Interest income	1,787,551,614	1,913,050,179	248,163,926	342,546,853	44,474,631	96,193,899	248,763,906	98,296,133	2,328,954,077	2,450,087,064
Fee and commission income	102,808,222	123,230,249	6,871,165	3,553,918	4,247,701	8,909,403	-	1,115,207	113,927,088	136,808,777
Other income	36,384,442	44,651,409	2,187,990	8,318,671	574,174	2,644,509.00	2,585,690	3,114,721	41,732,296	58,729,310
Total segmental income	1,926,744,278	2,080,931,837	257,223,081	354,419,442	49,296,506	107,747,811	251,349,597	102,526,061	2,484,613,461	2,645,625,151
Less: Interest expense	(1,034,040,829)	(1,114,540,944)	(138,977,582)	(207,641,814)	(36,470,613)	(66,009,411)	(164,238,877)	(77,746,340)	(1,373,727,900)	(1,465,938,509)
Segmental results	892,703,450	966,390,893	118,245,499	146,777,628	12,825,892	41,738,400	87,110,720	24,779,721	1,110,885,561	1,179,686,642
Depreciation and amortization	(18,982,049)	(15,167,296)	(2,551,233)	(2,825,705)	(669,497)	(898,293)	(3,014,959)	(1,058,016)	(25,217,737)	(19,949,310)
Impairment charge	(558,179,330)	(252,580,416)	(112,717,477)	(95,796,630)	(50,262,211)	(121,951,288)	(4,834,995)	1,083	(725,994,013)	(470,327,251)
Other Expenses	(560,919,755)	(538,054,252)	(70,684,884)	(96,514,825)	(19,207,553)	(30,682,099)	(58,512,900)	(16,137,590)	(709,325,092)	(681,388,766)
Income tax	-	-	-	-	-	-	-	-	-	-
Profit/(loss) after tax	(245,377,684)	160,588,929	(67,708,095)	(48,359,532)	(57,313,369)	(111,793,280)	20,747,866	7,585,198	(349,651,281)	8,021,315
Segmental assets	12,012,539,767	13,289,776,039	1,614,514,321	2,475,919,099	423,682,199	787,095,608	1,907,976,921	927,046,653	15,958,713,208	17,479,837,399
Segmental liabilities	10,284,006,764	11,497,756,003	1,382,195,316	2,142,061,205	362,716,851	680,962,059	1,633,430,393	802,041,824	13,662,349,325	15,122,821,091